

EQUITY ANALYSIS

AAPL

HOLD · medium

Last Close	P/E Ratio	RSI (14)	Beta (vs SPY)	Sharpe Ratio	Max Drawdown	Value at Risk (95%)
310.85\$	37.68x	63.47	0.91	2.08	-0.14%	0.02%

Exec Summary

Apple Inc. (AAPL) presents a complex investment profile with conflicting signals from its fundamental, technical, and valuation metrics. While the stock demonstrates strong upward momentum and positive risk-adjusted returns, its current valuation appears stretched, trading near its 52-week high with high P/E and P/B ratios. The DCF valuation also suggests a significant disconnect with the current market capitalization. Profitability metrics are a concern, though growth rates are positive. The stock's beta indicates slightly lower volatility than the market. Overall, the mixed indicators suggest a cautious approach.

Overview

Apple Inc. (AAPL) is currently trading at \$310.85, nearing its 52-week high of \$315.20. The company's market capitalization stands at \$4,565,417,590,784.00. Key financial and market indicators present a mixed picture, with positive technical momentum juxtaposed against high valuation multiples and concerns regarding profitability. The dividend yield is low at 0.35%.

Technical

AAPL's technical indicators suggest a neutral to slightly bullish trend. The stock is trading above its 50-day SMA (\$281.31) and 200-day SMA (\$265.21), and within its Bollinger Bands (Lower: \$290.21, Upper: \$318.65). The RSI (14) is at 63.47, indicating strong buying momentum but not yet overbought. However, the MACD (8.74) has crossed below the signal line (9.45), suggesting a potential short-term pullback. The stock is trading close to its 52-week high (\$315.20).

Fundamental

Apple Inc. (AAPL) exhibits mixed fundamental performance. Profitability metrics are a concern, with a low Return on Equity [roe] of 1.41% and a Profit Margin [profit_margin] of 0.27%. While EPS Growth (Q) [eps_growth] is 0.19% and Revenue Growth [revenue_growth] is 0.17%, these are not exceptionally strong. The P/E Ratio [pe_ratio] is 37.68x and the P/B Ratio [pb_ratio] is 42.82x, indicating a potentially overvalued stock. The Debt/Equity [debt_to_equity] ratio is 79.55,

which is within a manageable range. The stock is trading near its 52-week high (\$315.20).

Risk

Apple (AAPL) demonstrates a generally positive risk profile, supported by a strong Sharpe Ratio [sharpe] of 2.08 and a Beta [beta] of 0.91, suggesting slightly lower volatility than the market. The RSI [rsi_14] at 63.47 indicates strong positive momentum. The stock is trading above its key moving averages (SMA 50 [sma_50], SMA 200 [sma_200]) and its current price [last_close] is nearing its 52-week high [wk52_high]. The Max Drawdown [max_drawdown] is minimal at -0.14%, and the Value at Risk (95%) [var_95] is low at 0.02%. Despite high valuation multiples, the historical risk-adjusted returns and current momentum are favorable.

Valuation

Apple Inc. (AAPL) presents a mixed valuation. The DCF Enterprise Value [dcf_value] of \$1,446.21 billion is significantly lower than the current Market Cap [market_cap] of \$4,565,417,590,784.00, suggesting the stock may be overvalued by the market. The P/E Ratio [pe_ratio] is 37.68x and the P/B Ratio [pb_ratio] is 42.82x, which are high. The stock is trading near its 52-week high (\$315.20). Technical indicators like MACD [macd] and RSI [rsi_14] show positive momentum, and the stock is above its 50-day [sma_50] and 200-day [sma_200] moving averages. The Dividend Yield [dividend_yield] is low at 0.35%, and the Debt/Equity [debt_to_equity] ratio is 79.55.

Verification

32 supported · 0 contradicted · 1 unsupported (of 33).